

STRATEGY & INNOVATION | PORTFOLIO ANALYSIS

Open Banking in Canada

Threat or Opportunity **for the Big Six?**

A data-driven forecast of Canada's Consumer-Driven Banking Act rollout, benchmarked against the UK, US, and Australia, with a bank-by-bank revenue-at-risk model.

Jatin Sagwal | Business Analyst | July 2026

Portfolio project — mock engagement for demonstration purposes

Canada's open banking law is live. The Big Six need a position now.

The Consumer-Driven Banking Act received Royal Assent in March 2026. Nine million Canadians already share bank credentials with third-party apps through unregulated screen scraping — the exact behavior the Act is designed to replace with secure, regulated data sharing.

9.0M

Canadians already sharing
credentials via screen scraping

\$2,537M

Estimated Big Six revenue at risk
(base case, 24-month forecast)

2026 / 2027

Phase 1 (read access) and
Phase 2 (payments) target windows

The bottom line: Canada's mandated open-banking regime is expected to track closer to the UK's adoption curve than the US's market-led one. Banks that move now — through defensive platforms, fintech partnerships, or in-house embedded finance — will control the terms of that transition. Banks that wait will have the terms set for them.

THE TRIGGER

Canada's regulatory clock has started

The Consumer-Driven Banking Act (Bill C-15) establishes Canada's first open banking framework, in three stages.

COMPLETE

Royal Assent

Mar 26, 2026

Consumer-Driven Banking Act formally established

UPCOMING

Phase 1 — Read Access

2026 (exact date TBC)

Bank of Canada has not committed to a launch date

UPCOMING

Phase 2 — Write / Payments

Mid-2027

Contingent on Real-Time Rail reaching wide adoption

9M

Canadians using unregulated screen scraping today

\$1.1–3.8B

Est. annual consumer savings
(Competition Bureau, insurance-sector analogy)

\$19.3M

Bank of Canada implementation budget over 2 years

Three regulatory models. Canada is closest to the UK's.

Markets that mandate open banking (UK) adopt differently than markets that let it emerge voluntarily (US). Canada's model is mandated — like the UK's.

MANDATED

UK

16.5M

active user connections (2025)

2.0B+

API calls in a single month

Launched 2018. Closest structural comparator for Canada's mandated regime.

MANDATED

Australia

Growing

daily active authorisations

97%+

average API availability

Concentrated "Big Four" bank market — closest structural comparator to Canada's Big Six.

MARKET-LED

United States

114M

FDX customer API connections (Apr 2025)

52%

bank adoption rate (2025)

No government mandate — standards adopted voluntarily via FDX. Slower, more fragmented uptake.

FORECAST

Canada

9M

at-risk population (screen-scraping base)

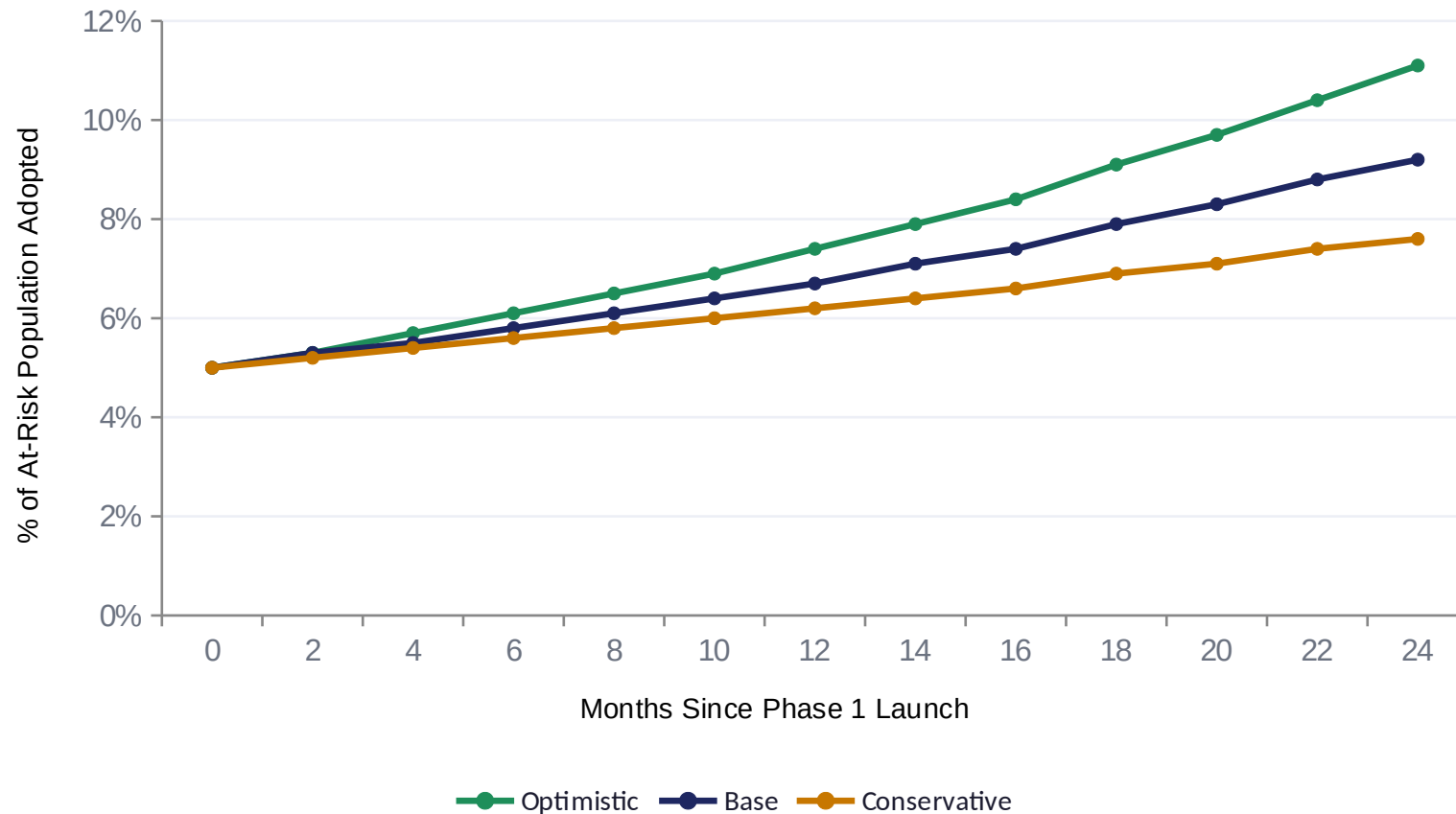
2026–27

Phase 1 / Phase 2 rollout window

Mandated regime, like UK & Australia. Model tracks the UK's adoption curve as the base case.

Three adoption scenarios, modeled off the UK's growth curve

Monthly compounding growth applied to Canada's 9M at-risk population, benchmarked against the UK's post-launch trajectory. 24-month (2-year) forecast window.



CONSERVATIVE

7.6% by month 24

US-style slower adoption

BASE CASE

9.2% by month 24

Tracks UK's mandated-regime pace

OPTIMISTIC

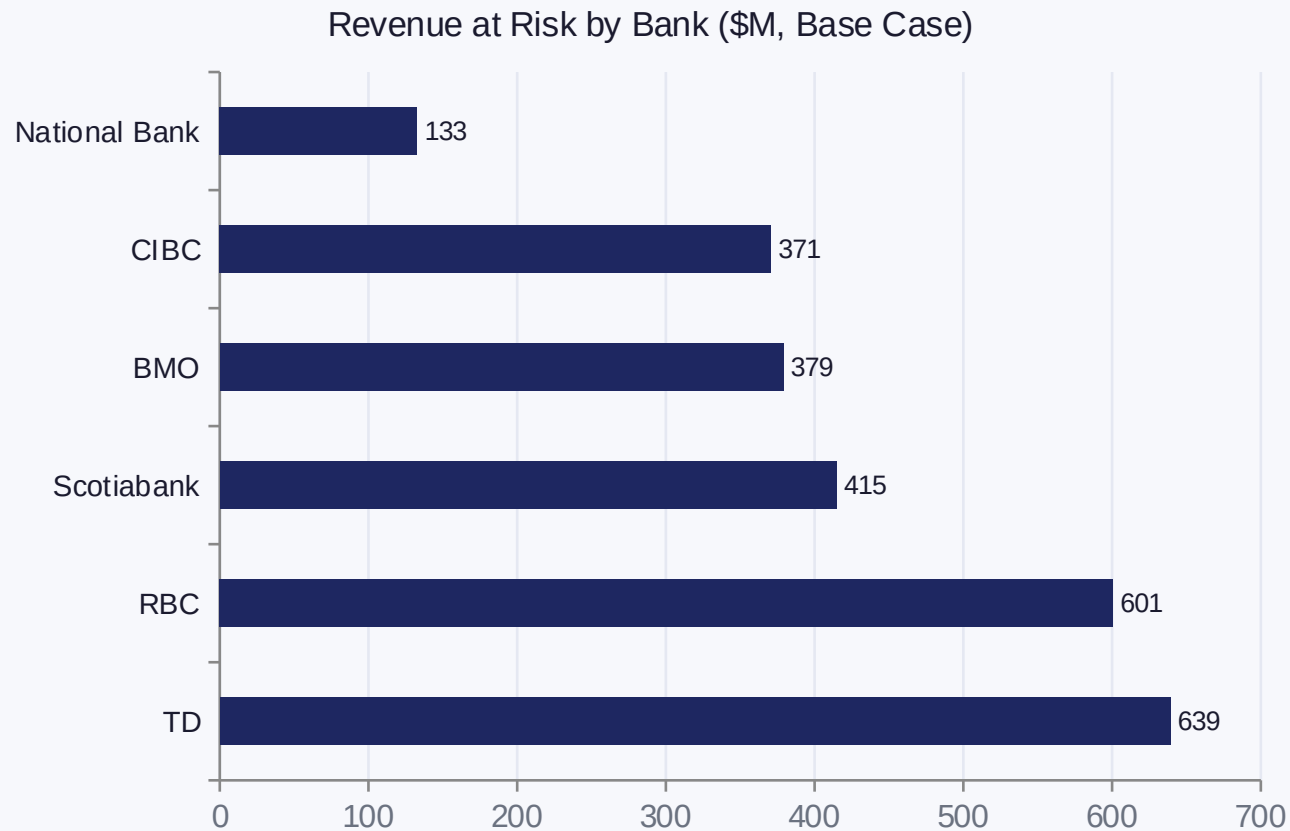
11.1% by month 24

Faster — 9M users already primed

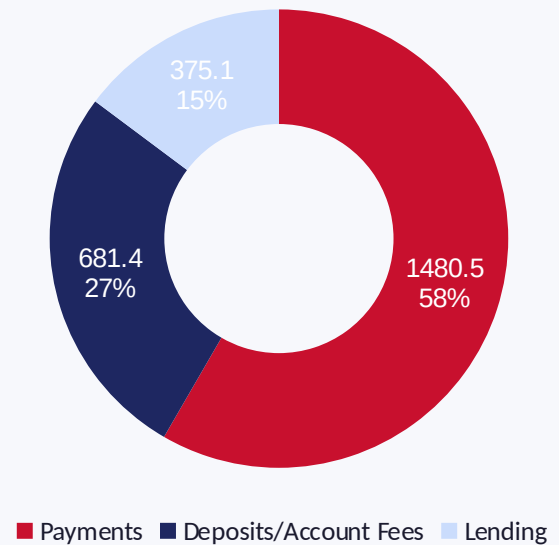
REVENUE AT RISK

\$2.5B in exposed revenue — concentrated in payments

Base case scenario. Exposure = adoption forecast × estimated share of each bank's retail segment revenue vulnerable to fintech disintermediation.



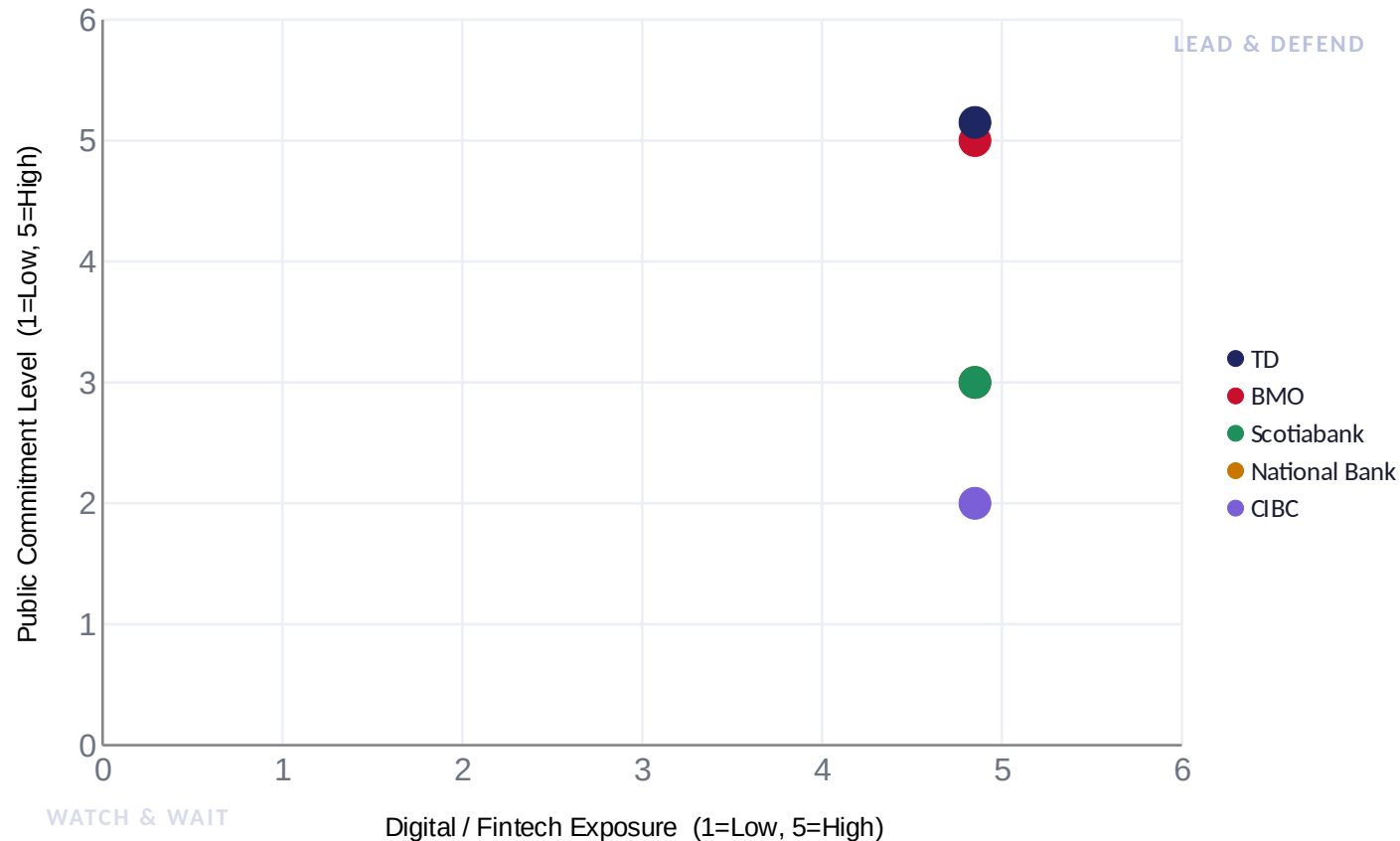
By Product Line (Aggregate)



58% of exposure sits in payments revenue — card fees and interchange are the most immediately substitutable by fintechs.

The Big Six are not moving at the same speed

Scored on public commitment (disclosed statements, JV participation) and digital/fintech exposure (estimated share of digital-native customer base).



Reading the map

RBC, TD, BMO: Highest commitment + exposure — all three back the Cor.Connect joint venture controlling how open banking data flows to third parties.

Scotiabank / Tangerine: Mid-tier, running parallel conversations across both the core bank and its digital-only subsidiary.

CIBC: Lowest commitment — publicly describes itself as at a "crossroads," deciding whether to move ahead of regulation.

National Bank: Lower exposure — smaller digital-native footprint, less urgency.

Public signals confirm the posture map

TD / RBC / BMO

"Jointly built Cor.Connect, a platform controlling how open banking data flows to third parties. Fintechs have lobbied for banks to be required to provide data directly and for free instead."

— The Logic

CIBC

"Described being at a "crossroads" after 12–18 months of collaboration and experimentation — deciding whether to proceed ahead of regulation or wait for the rules to land."

— Pesh Patel, VP Commerce Solutions & Open Banking, via Open Banking Expo

TD

"Has publicly and consistently supported Canada's move to an open banking framework, working with the federal government and stakeholders on implementation."

— Open Banking Expo / The Logic

Scotiabank / Tangerine

"Running parallel conversations across both its main brand and its digital-only subsidiary, exploring different use cases and client needs for each."

— Karnan Ariaratnam, via Open Banking Expo

Three paths forward — pick before regulation picks for you

DEFEND

Control the data layer

- Join or build a Cor.Connect-style consortium platform
- Set technical & commercial terms for third-party access
- Best for banks with scale to build shared infrastructure

PARTNER

Co-opt the fintechs

- Selective partnerships with high-trust fintechs
- Faster time-to-market than building in-house
- Best for banks prioritizing speed over control

BUILD

Compete as a platform

- Launch owned embedded-finance products
- Capture new revenue instead of only defending old revenue
- Best for digitally mature banks (Tangerine-style subsidiaries)

Recommendation: Scale players (RBC, TD, BMO) should anchor on Defend while layering selective Partner moves; mid-scale banks (Scotiabank, National Bank) should prioritize Partner for speed; digitally mature subsidiaries should pilot Build now, before fintech incumbents lock in the highest-value use cases.

Built on public, verifiable sources — not estimates alone

Regulatory & Government

- Canada Gazette — CDBA regulations
- Open Banking Ltd (UK) — live API performance data
- CDR.gov.au — Australia performance dashboard
- CFPB — Section 1033 rule (US)

Market & Industry Data

- FDX / CoinLaw — US adoption statistics
- Sahamati — India Account Aggregator metrics
- Konsentus — EU PSD2/PSD3 tracking
- Juniper Research — global API volume forecasts

Company Filings & Press

- Big Six FY2025 Annual Reports (SEDAR+)
- The Logic — Cor.Connect reporting
- Open Banking Expo — bank panel coverage
- McMillan LLP, DLA Piper — legal analysis

Key modeling assumption: Product-line revenue exposure (payments/lending/deposits) uses disclosed fee data where available (RBC, National Bank) and an industry-standard 20% exposure estimate elsewhere. Treat as directional, not audited.

Questions & Discussion

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